

diligent when deciding which exchange to use. The following should be taken into consideration.

What Is the Reputation of the Exchange?

The best way to ascertain reputation is to investigate the management, venture capital investors, and regulatory approvals. Search reputable online sites to see what others are saying about the exchanges. Are there frequent customer complaints? In particular, look for whether an exchange has experienced a hack or had business problems in the past. This can be as easy as just typing the name of the exchange and the word “hack” into Google. For instance, “Bitfinex hack.” While having been hacked can be a concern, consider what changes the exchanges have made since any security breach. One other good thing to note is where the exchange is physically headquartered. If that information isn’t available, it’s probably best to avoid the exchange.

What Cryptoassets Are Available for Trading?

For investors seeking specific assets, make sure the exchange offers trading in the desired cryptoasset. It’s critical to understand that exchanges with a large number of cryptoassets are at greater operational risk. They typically perform less due diligence on those assets, which then passes that risk and responsibility on to the investor.

Are Extra Capabilities Offered, Like Derivatives or Margin Trading?